

BEFORE THE HON'BLE SOLE ARBITRATOR
MR. NITIN N. SARDESSAI (SR. ADVOCATE)
AT PANAJI, GOA

IN THE MATTER OF:

Mr. Vikram ShahClaimant

v

Mr. Riva Trindade & Ors.Respondents

AFFIDAVIT IN REPLY ON BEHALF OF RESPONDENT NO. 4 TO THE
APPLICATION FILED UNDER SECTION 16 OF THE
ARBITRATION AND CONCILIATION ACT, 1996

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I, Murlidhar Shamdas Sadarangani, aged about 67 years, resident of S-3, Eden Hall, Dr. Annie Beasant Road, Worli, Mumbai 400 018, do hereby on solemn oath state and submit as under:

1. I say that the Application filed by Respondent No. 2 under Section 16 of the Arbitration and Conciliation Act, 1996, ("**Arbitration Act**") suffers from gross delay and laches and should be dismissed on that ground alone. Section 16(2) of the Arbitration Act, mandates that a plea that the arbitral tribunal does not have jurisdiction must be raised not later than the submission of the statement of defence. The extent of the delay is shown as below.
2. I say that the arbitrator was appointed by an Order of the Hon'ble High Court of Bombay at Goa dated 7th August 2024. Hereto annexed and marked '**Annexure 1**' is a copy of the said Order.
3. Pursuant to the said Order, arbitration proceedings commenced on 26th August 2024 at which meeting the Ld. Arbitrator directed that Notice be issued inter alia to Respondent Nos. 1-3.
4. On 14 September 2024, Respondent Nos. 1-3 through their advocate appeared before the Ld. Arbitrator, proposed a global settlement and sought time to hold the settlement talks. Time was granted, and the arbitration proceedings were stood over to 25th January 2025. The Minutes of Proceedings which are hereto annexed and marked '**Annexure 2**' also expressly recorded that all parties have unanimously decided that the seat and venue of the arbitration proceedings shall be Panaji, Goa.
5. On 25th January 2025, the Parties informed the Ld. Arbitrator that settlement talks had been unsuccessful. As recorded in the Minutes of Proceedings which are hereto annexed and marked '**Annexure 3**', the Claimant filed his Statement of Claim dated 22nd January 2025, and the advocate on behalf of Respondent Nos. 1-3 stated that the opposing Respondents i.e. 1-3 would file their Written Statement i.e. Statement of

Defence by 15th February 2025.

6. At the arbitral hearing scheduled on 19th February 2025, the advocate appearing on behalf of Respondent Nos. 1-3 sought a further 2 (two) week period to file his statement of defence. Finally, he agreed that his statement of defence would be served on the Parties on 28th February 2025 and filed on 1st March 2025. Hereto annexed and marked '**Annexure 4**' is a copy of minutes of proceedings dated 19th February 2025 which records the above.
7. Vide an email dated 28th February 2025 with a time stamp of 07.13 pm, the advocate on behalf of Respondent Nos. 1-3 recorded that Respondent No. 1 who had been instructing the advocate on behalf of Respondent Nos. 1-3 was unwell and consequently could not meet him to finalise the Statement of Defence. He therefore requested for a further period of one week to file the same. The minutes of proceedings dated 1st March 2025 which are hereto annexed as '**Annexure 5**' record the above.
8. Respondent Nos. 1-3 finally filed their Statement of Defence on 8th March 2025. The minutes of proceedings dated hereto annexed and marked '**Annexure 6**' record that the Statement of Defence has been filed. Upon the filing of the Statement of Defence, the statutory period to raise the plea that the arbitral tribunal did not have jurisdiction to entertain the dispute lapsed. Section 16(2) expressly states that "*A plea that the arbitral tribunal does not have jurisdiction shall be raised not later than the submission of the statement of defence.....*" In the present case the application under Section 16 has been filed on 14th March 2026, more than one year after Respondent Nos. 1-3 filed their Statement of Defence. The said application taken out at this belated stage which provides no justification for the delay is another tactic adopted by Respondent Nos. 1-3 to frustrate and delay the progress of the arbitration.
9. Further, after the filing of the Statement of Defence on 8th March 2025, the Respondent Nos. 1-3 filed an application on 22nd March 2025 for interim measures under Section 17 of the Arbitration Act praying for directions that the Claimant be required to furnish various documents to enable the Respondents to "*compute their entitlements in the profits/losses of the Association, as well as the share of Respondents 1, 2 and 3 in the assets of the Association...*". This application is one instance amongst others that demonstrate that Respondents 1-3 acquiesced and submitted to the jurisdiction of the arbitration proceedings. Hereto annexed and marked '**Annexure 7**' is a copy of the minutes of proceedings dated 22nd March 2025. I crave leave to refer to the Application dated 22nd March 2022 as and when produced.
10. The subsequent minutes of proceedings dated 5th April 2025 which are hereto annexed and marked '**Annexure 8**' record that arguments were advanced by the Claimant on an application for interim measures dated 1st March 2025 filed under Section 17 of the Arbitration Act. The advocate for the Respondent Nos. 1-3 stated that he would argue on the next date of hearing on the Application filed by him (22nd March 2025) as well as Reply to the Application u/s 17 filed by the Claimant.
11. On the next date, i.e. 26th April 2025, the advocate on behalf of Respondent Nos. 1-3 argued the Application under Section 17 filed by the Claimant, as well the application under Section 17 filed by Respondent Nos. 1-3. Pursuant to the arguments, The Ld. Arbitrator recorded that "*the Parties were ad idem as regards the appointment of the Receiver they are to inform the Tribunal on who should be*

appointed as the Receiver for taking over the management of the Suit Property.....” This is one more instance where the Respondent Nos. 1-3 submitted to and accepted the jurisdiction of the arbitral tribunal. Hereto annexed and marked ‘**Annexure 9**’ is a copy of the minutes of proceedings dated 26th April 2025. Subsequently however, the Parties could not agree upon the person to be appointed as Receiver.

12. Thereafter, the minutes of proceedings held on 7th June 2025, record that the advocate on behalf of Respondent Nos. 1-3 stated that he would continue to respond to the Application under Section 17 filed by the Claimant on a later date since settlement talks had been initiated by the parties. Hereto annexed and marked ‘**Annexure 10**’ is a copy of the minutes of proceedings dated 7th June 2025.
13. Thereafter arbitration proceedings were adjourned from time to time to enable parties to arrive at a settlement and file consent terms before the arbitral tribunal. Unfortunately, as recorded in the minutes of proceedings dated 31st January 2026, the settlement talks *“have not borne any fruits and as such they would argue the matter on the next date of hearing. By consent the parties have suggested 14.02.2025 as the next date for arguments on both the Applications. Application for receiver and Application for furnishing of Accounts filed by Respondents 1, 2 & 3”*. Hereto annexed and marked as ‘**Annexure 11**’ is a copy of the minutes of proceedings dated 31st January 2026.
14. Subsequently, vide an email dated 13th February 2026, the arbitral tribunal was intimated that pursuant to instructions from Respondents 1, 2 & 3 the advocate had withdrawn his appearance. The proceedings were therefore adjourned on 14th February 2026, and new advocates filed their Vakalatnamas on behalf of Respondent Nos. 1, 2 and 3 on 14th March 2026 simultaneous to which Respondent Nos. 2 filed the application under Section 16 of the Arbitration Act. Hereto annexed and marked as ‘**Annexure 12**’ is a copy of the minutes of proceedings dated 14th March 2026.
15. It is respectfully submitted that the Respondent Nos. 1, 2 and 3 filed their Statement of Defence on 8th March 2025. Pursuant to filing the Statement of Defence, Respondent Nos. 1, 2 and 3 filed an Application dated 22nd March 2025 under Section 17 of the Arbitration Act before the Arbitral Tribunal. Arguments on the applications filed by the Claimants and Respondent Nos 1, 2 and 3 are part heard. They were adjourned to enable parties to explore a settlement. When settlement talks failed, the applications were revived and parties consented to hearing arguments on both the Applications under Section 17 on 14th February 2026. This Application under Section 16 is hopelessly time barred since Respondent No. 2 has through her own actions acquiesced to the jurisdiction of the Arbitral Tribunal and thereby waived her rights (if any) to pursue an Application under Section 16.
16. With reference to paragraph 3 of the said Application, the contention that Respondent No. 2 has not waived her right to assail the jurisdiction of this Tribunal is denied. It submitted that for the reasons set out hereinabove which are not repeated herein for the sake of brevity, Respondent No. 2 has acquiesced to the jurisdiction of the Tribunal. As determined by the Apex Court in various judgments set out hereinbelow there is a statutory bar that precludes a party from challenging the jurisdiction of a tribunal, once it files its statement of defence.

(i) *Vidyawati Construction Co. v Union of India* (2025) 5 SCC 347;

(ii) *MSP Infrastructure Ltd. v Madhya Pradesh Road Development Corporation. (2015) 13 SCC 713; and*

(iii) *BSNL Ltd. v Motorola India Pvt. Ltd. (2009)2 SCC 337.*

17. With reference to paragraphs 4 and 5 of the said Application, it is denied that the present application has been moved at the earliest opportunity as alleged. The arbitration commenced in August 2024, and the Respondent has been regularly appearing before the Tribunal since 14th September 2024. This application has been filed by Respondent No. 2 after having appeared before the Arbitral Tribunal on no less than 21 (twenty-one) occasions. The allegation that the application could not be moved earlier on account of settlement talks between the parties is denied. A significant discussion with respect to the settlement talks pertained to identifying and agreeing to an individual to act as Receiver for protection of the property pending the arbitration proceedings. Hence even during the settlement talks, the jurisdiction of the Tribunal (or the lack of it) was never contemplated. Respondent Nos. 1, 2 and 3 have persistently sought to delay the proceedings, as a consequence of which despite 18 months having lapsed since the commencement of the arbitration, application for interim measures under Section 17 have still not been effectively dealt with. This Application under Section 16 taken out by Respondent No. 2 is one more tactic engineered to delay the proceedings.

18. With reference to paragraphs 6 to 14 of the Application, Respondent No. 4 submits as under:

(i) The contents of the said paragraphs pertain to the merits of the claim and defence, and they cannot form the subject matter of an Application under Section 16. Generally, applications under Section 16 deal with questions regarding the scope, effect and applicability of the arbitration clause, whether the arbitration clause is void or not and the validity of the constitution of the Arbitral Tribunal. In the present case the Tribunal was constituted by an Order dated 7th August 2024 passed by the High Court of Bombay at Goa under Section 11(6) of the Arbitration Act. The said Order for appointment of the Tribunal appears to have been passed by consent.

(ii) The Association of Persons (“AOP”), operating under the name M/s PVM Associates, was formed for the specific purpose of developing properties in Bambolim, Goa, bearing Survey Nos. 93/3 and 93/4. I say that Clause 35 of the said AOA explicitly mandates that *"In the event of any dispute between the members of this association or between the members and the legal heirs... the matter shall be referred to arbitration"*.

(iii) I say that the Respondents Nos. 1 to 3, as the legal heirs of Late Mr. Pascoal Trindade (who passed away on January 17, 2022), are legally bound by the AOA. Clause 28 of the AOA clearly states that *"the legal heirs becoming members of the association will inherit all the rights and liabilities of the deceased member"*.

(iv) I say that the Respondents have failed to fulfil their contractual obligations to defend the interests of the AOP in various courts, leading to the revocation of development permissions by the District Court on October 30, 2023, causing a loss of approximately Rs. 20 Crores.

- (v) I say that the Respondents' non-cooperation and their failure to implead themselves in Revision Applications (such as CRA No. 41/2018) have led to the dismissal of vital legal protections for the properties. These defaults constitute a fundamental breach of the AOA, making the dispute squarely arbitrable under Clause 35.
- (vi) The vesting of entitlements, rights and title of the subject properties into the Articles of Association dated 1st April 2013 and whether the subject properties ceased to be the personal property of the deceased Pascoal Trindade pertain to the merits of the matter and cannot form the subject matter of an Application under Section 16 of the Arbitration Act.
- (vii) I deny that the rights, entitlement, title, interest and/or possession of Respondent No. 2 in the said properties were never the subject matter of the Articles of Association as alleged. As recorded in the Joint Venture Agreement dated 25th April 2014, Respondent No. 2 had executed a Power of Attorney dated 9th December 1996 under registration no. 8339/96 in favour of her husband the deceased Pascoal Trindade. The said Power of Attorney entitled the deceased Pascoal Trindade to act on her behalf. In the said Joint Venture Agreement, the deceased Pascoal Trindade, had stated that Respondent No. 2 and he jointly had a 37.85% share in the AOP namely M/s. PVM Associates. Hereto annexed and marked '**Annexure 13**' is a copy of the said Joint Venture Agreement. It is hence denied that the Articles of Association are not binding or enforceable against Respondents 1, 2 and 3.
- (viii) It is further submitted that in any event, non-signatories may also be bound by an arbitration agreement. This legal principle has been laid down by the Hon'ble Supreme Court in *Chloro Controls India (P) Ltd. v Severn Trent Water Purification Inc. reported in (2013)1 SCC 641*.
- (ix) The aforesaid principle has been further elaborated by the Supreme Court in *Cox and Kings Ltd. v SAP India Pvt. Ltd & Anr. reported in (2025)1 SCC 611* and *Ajay Madhusudan Patel v Jyotrindra S. Patel & Ors. reported in AIR 2024 SC 4648* where the Supreme Court reiterated that non-signatories can be referred to arbitration where they are a veritable party to the arbitration agreement.
- (x) I deny that by a mere reading of the material relied upon by the Claimant demonstrates that the Articles of Association are not binding upon Respondent No. 2. The Articles of Association clearly state that that the deceased Pascoal Trindade brought and introduced into the Association properties then valued at Rs. 3,09,50,000 which is prima facie evidence that the properties were brought in. The defences raised by Respondent (which in any event are denied) would have to be ultimately proved by evidence and cannot be the subject matter of an Application under Section 16.

19. With reference to paragraph 15 of the Application, I crave leave to refer to the said Order passed in Special Civil Suit No. 52/2013/A for its true and correct interpretation. In any event the Order is dated 13th October 2022. If it was sought to be relied upon, to attempt to demonstrate the alleged lack of jurisdiction of this arbitral tribunal, it should have been

introduced and argued before the filing of the Statement of Defence. The Order was known to Respondent No. 2 and this application ought not to be entertained at this belated stage.

20. With reference to paragraphs 16 to 21 the contents are denied. The Section 16 application is a mala fide attempt by Respondent Nos. 1, 2 and 3 to escape the liabilities of the deceased Pascoal Trindade. The Respondents having participated in the arbitration proceedings for 18 months now claim that the forum lacks jurisdiction.
21. In view of the above, it is respectfully submitted that this Hon'ble Tribunal be pleased to:
- (a) dismiss the Application filed by Respondents Nos. 1 to 3 under Section 16 of the Arbitration Act with exemplary costs; and
 - (b) proceed with the arbitration on merits

DEPONENT

Before Me

Respondent No. 4

VERIFICATION

I, Murlidhar Sadarangani, do hereby on solemn oath verify that the contents of paragraphs 1 to 21 are true to my personal knowledge and derived from the records of M/s PVM Associates, and I believe the same to be true. No part of what is stated above, is false, and nothing material has been concealed therefrom.

Verified at Mumbai on this [Current Date].

DEPONENT